

Business Event Metadata

De Charles Hoffman <charles.hoffman@dfmnt.com>

Para Richard Gasca <co.auditoria@pm.me>

Fecha sábado, 23 de mayo de 2026 a las 10:03

Richard;

I want to make you aware of something.

I am working with two other accountants, both of which are also programmers, and we are trying to figure something out. I think this is directly related to what you are trying to do with your FRAMEWORK. Here is the big picture. I mentioned to you the book The Future of Accounting? See, <https://digitalfinancialreporting.blogspot.com/2025/11/the-future-of-accounting.html> Again, you should get a copy of that book.

In the book, Dave McComb (who I know and have had extensive conversations with, hours and hours) and Cheryl Dunn (who I also know and have discussed this with extensively) describe what they are calling "data centric accounting". What it really is, is an implementation of REA (Resources, Events, Agents, see https://en.wikipedia.org/wiki/Resources%2C_Events%2C_Agents). What I did was take that DATA CENTRIC ACCOUNTING (a.k.a. REA) information and put it into an XBRL taxonomy, see https://xbrlsite.azurewebsites.net/seattlemethod/dca/dca_ModelStructure.html

Before I even met Dave and Cheryl, I had already embraced the notion of "business events" and realized that there was a piece of information MISSING from the general journal and therefore general ledger and this is WHY you could not generate a proper cash flow statement and/or statement of changes in equity from accounting systems. I created this "business event code" or identifier and added it to the general journal; and THEN I COULD generate proper cash flow statements and statements of changes in equity and also the balance sheet and income statement and therefore a COMPLETE and CORRECT set of financial statements.

But, what Dave and Cheryl did was even better than what I did. What they did was break down the "properties" or "facets" or "core event facets" that described business events. What I was doing was simply assigning a code to the general journal manually, Dave and Cheryl were working with the low level facets and would generate a composite identifier from all the facets. Basically, both things are useful.

I have a working proof of concept of all this. That is what this is all about:

<https://github.com/seattlemethod/prototypes/tree/main/the-world-online-demo-data>

This is the MINI working proof of concept. What myself and the two other accountants are doing is putting all this information together in the form of a MATRIX which will let you go from the CORE FACETS of a business event to the BUSINESS EVENT IDENTIFIER or from the identifier to the facets so you can effectively CODE or DECODE transaction information. We are trying to get your heads around all this, and building this matrix helps that A LOT. This is the “promise” of what your ENTERPRISE FRAMEWORK will provide. This information, when in machine readable form, can help both CODE financial transactions and DECODE i.e. help with the analysis of that transaction information. That book, *The Future of Accounting*, explains this in great detail. This is not complete or correct yet; but it shows you what I am talking about.

	A	B	C	D	E	F	G	
1	SortOrder	Category	BusinessEventCode	CoreEvent	EventType	Counterparty	RightOrObligation	Invo
2	1	Asset for Asset	mini:ProceedsFromCollectionOfReceivables	Remittance	Fulfillment	Customer	Right	Mon
3	2	Asset for Liability	mini:PaymentOfAccountsPayable	Payment	Fulfillment	Vendor	Obligation	Mon
4	3	Liability for Asset	mini:ProceedsFromAdditionalLongtermBorrowings	Remittance	Commitment	Vendor	Obligation	Mon
5	4	Asset for Liability	mini:PaymentForReductionOfLongtermBorrowings	Payment	Fulfillment	Vendor	Obligation	Mon
6	5	Asset for Asset	mini:PaymentForCapitalAdditionsOfPropertyPlantEquipment	Payment	Fulfillment	Vendor	Obligation	Mon
7	6	Asset for Asset	mini:CollectionOfReceivables	Remittance	Fulfillment	Customer	Right	Mon
8	7	Expense of Asset	mini:AdditionsToAllowanceForBadDebts	Transfer	Commitment	Customer	Both	Mon
9	8	Asset for Asset	mini:BadDebtsWrittenOff	Transfer	Commitment	Customer	Both	Mon
10	9	Asset for Asset	mini:PurchasesOfInventoryForSale	Receipt	Commitment	Supplier	Right	Goo
11	10	Asset for Equity	mini:DecreaseInInventoriesFromSales	Shipment	Fulfillment	Supplier	Obligation	Goo
12	11	Asset for Asset	mini:InventoryWrittenOff	Transfer	Fulfillment	Self	Both	Goo
13	12	Asset for Asset	mini:CapitalAdditionsPropertyPlantAndEquipment	Receipt	Fulfillment	Vendor	Right	Goo
14	13	Asset for Asset	mini:DecreaseFromDepreciationAndAmortization	Resource Consumption	Fulfillment	Self	Both	Mon
15	14	Asset for Asset	mini:PropertyPlantAndEquipmentWrittenOff	Transfer	Fulfillment	Self	Both	Mon
16	15	Asset for Liability	mini:PurchasesInventoryForSaleOnAccount	Bill	Fulfillment	Supplier	Right	Goo
17	16	Liability for Asset	mini:DecreaseFromPaymentAccountsPayable	Payment	Fulfillment	Supplier	Obligation	Mon
18	17	Asset for Liability	mini:AdditionalLongtermBorrowings	Remittance	Fulfillment	Vendor	Obligation	Mon
19	18	Asset for Liability	mini:RepaymentLongtermBorrowings	Payment	Fulfillment	Vendor	Obligation	Mon
20	19	Equity for Equity	mini:NetIncomeLoss	Transfer	Fulfillment	Self	Both	Mon
21	20	Asset for Asset	mini:IncreaseInReceivablesFromSalesOnAccount	Invoice	Commitment	Customer	Right	Mon
22	21	Asset for Equity	mini:NetIncomeLoss	Shipment	Commitment	Customer	Both	Goo
23	22	Asset for Equity	mini:NetIncomeLoss	Shipment	Fulfillment	Supplier	Both	Goo
24	23	Asset for Equity	mini:NetIncomeLoss	Bill	Commitment	Government	Obligation	Mon
25	24	Asset for Equity	mini:NetIncomeLoss	Bill	Fulfillment	Vendor	Both	Mon
26	25	Asset for Equity	mini:NetIncomeLoss	Transfer	Fulfillment	Self	Both	Mon
27	26	Asset for Equity	mini:InvestmentsByOwner	Remittance	Fulfillment	Owner	Obligation	Mon
28	27	Equity for Asset	mini:DistributionsToOwner	Payment	Commitment	Owner	Obligation	Mon
29	28	Liability for Asset	mini:InterestAccrued	Bill	Commitment	Vendor	Obligation	Mon
30	29	Liability for Asset	mini:DecreaseFromPaymentOfInterest	Payment	Fulfillment	Vendor	Obligation	Mon
31	30	Asset for Equity	mini:NetIncomeLoss	Bill	Commitment	Employee	Both	Mon
32	31	Asset for Equity	mini:NetIncomeLoss	Transfer	Fulfillment	Vendor	Both	Mon
33	32	Asset for Equity	mini:NetIncomeLoss	Bill	Commitment	Vendor	Obligation	Mon
34	33	Asset for Equity	mini:ProceedsFromInvestmentsByOwner	Remittance	Fulfillment	Owner	Right	Mon
35	34	Asset for Equity	mini:PaymentForDistributionsToOwner	Payment	Commitment	Owner	Obligation	Mon

I have also taken that SAME SET OF TRANSACTIONS and replaced the MINI reporting framework information and business event information and “recoded it” with another different simpler reporting framework, the COMMON ELEMENTS reporting framework. Why? Because (a) the pattern should work for ANY REPORTING

FRAMEWORK and (b) there are fewer business events in COMMON because there are fewer accounts. But COMMON can get confusing because INFLOWS and OUTFLOWS are combined because there are too few LINE ITEMS in the reporting framework.

Dave McComb and Cheryl Dunn are building a software application that does all this. We can, and should, talk with them to help tune your enterprise framework. I don't know if it is, or is not, too late to get their software to USE your enterprise framework, that might be a possibility. I have a few other contacts that might also be interested in your framework, but for mid-market accounting information systems; so much smaller implementations. But, what you have could still be valuable.

Is any of this helpful to you? This is the level of detail that I am at. The test data I have is from Microsoft Dynamics. I have the full database and the general ledger transactions, with that XBRL line item information and XBRL based business event information is in that database. I have ONLY DONE THIS FOR THE GENERAL LEDGER. What you are doing is the general ledger, PLUS all the subsidiary ledgers. Even more valuable!

Cheers,

Charlie

193.93 KB 1 imagen insertada

image001.jpg 193.93 KB